EQUITY RESEARCH · COMPANY DEEP DIVE

Broadcom Inc. (AVGO.US)

Technology · Semiconductors

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-19

OVERWEIGHT

Composite · Valuation: OVERWEIGHT

Target $373.70 · +11.2% upside

Price $336.13

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $373.70 (+11.2% vs $336.13); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT $373.70	45%
FSA	Strong	Health +0.80 · Strong	20%
Technical	BEARISH	Bearish · Death Cross	20%
Quantitative	NEUTRAL	Score +0.20 · 12m -3%	15%
Composite	OVERWEIGHT	Score +0.28 · 75% confluence	—

Solid financial statement profile.

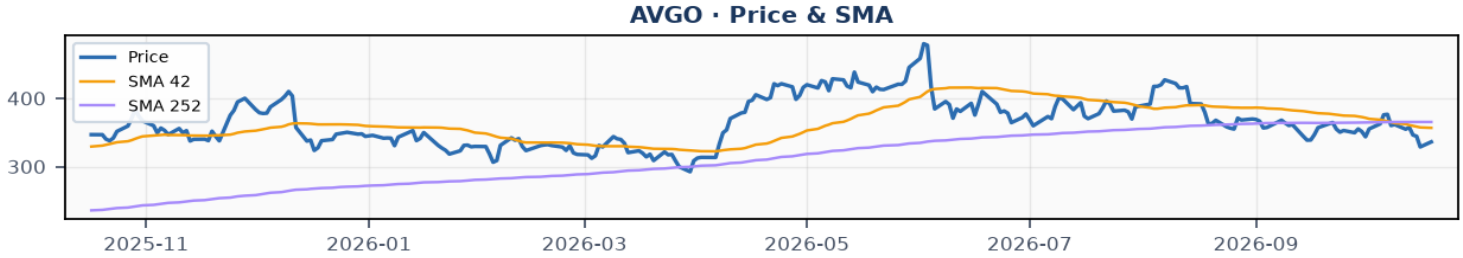
INVESTMENT THESIS / EXECUTIVE SUMMARY

Broadcom Inc. (AVGO) — Technology. Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in... **OVERWEIGHT** rating; blended target $373.70. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.60T	Shares Out.	4773.6M
52-Week Range	$289.96 – $495.00	P/E (TTM)	42.9x
P/B	16.1x	Beta	1.48
Avg Volume	22.55M	Analyst Rec.	Strong Buy
Revenue (TTM)	$89.10B	Rev Growth	+85.5%
Op. Margin	54.3%	FCF (TTM)	$26.91B
Gross Margin	75.5%	ROE	44.2%
EV/EBITDA	30.7x	Debt/Equity	59.6%
EPS (TTM)	$7.83	Div Yield	79.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	51,574	63,887	118,510	190,328	272,492
Revenue Growth (%)	N/A	23.9%	85.5%	60.6%	43.2%
Net Income ($M)	5,895	23,126	42,899	68,895	98,637
Gross Margin (%)	63.0%	67.8%	75.5%	75.5%	75.5%
Net Margin (%)	11.4%	36.2%	36.2%	36.2%	36.2%
EPS ($)	1.23	4.84	8.99	14.43	20.66
P/E (x)	272.19	69.38	37.40	23.29	16.27

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$356.68	Short-term trend	**12m Momentum**	-3.1%	
SMA (252d)	$365.29	Long-term trend	**3m Momentum**	-15.1%	
RSI (14d)	41.2	Momentum oscillator	**Ann. Volatility**	44.5%	
Trend	Bearish		**Sharpe Ratio**	1.00	Rf=4%
Golden Cross (20d)	No	Death Cross	**Max Drawdown**	-41.1%	
Death Cross (20d)	Yes	7d ago	**Rel. Strength vs SPY**	+537.1%	
TA Signal	BEARISH	Death Cross within last 20d; SMA42=$356.68, SMA252=$365.29	**Quant Score**	+0.20	NEUTRAL
			SMA Backtest (ann.)	62.0%	B&H; 69.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$144.19	-57.1%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	$373.70	+11.2%	100%	Included in blend
Analyst consensus	$527.59	+57.0%	0% (excluded)	Analyst target >50% above price (likely stale)
Blended target	$373.70	+11.2%	100%	Comps 100%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
12.12%	4.00%	20.00%	$688.29B	$144.19	-57.1%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AMD	Advanced Micro Devices	$885.90B	138.4x	89.3x	15.6%	+50.1%
INTC	Intel Corporation	$491.58B	N/A	29.1x	-19.8%	+25.4%
QCOM	QUALCOMM Incorporated	$187.02B	20.3x	15.6x	21.0%	-4.0%
TXN	Texas Instruments Inco	$254.05B	42.3x	27.3x	31.1%	+22.8%
AVGO*	Broadcom Inc.	$1.60T	42.9x	30.7x	42.9%	+85.5%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (85.5% YoY); High operating leverage (54.3% margin); Above-market volatility (β=1.48) · Risks: Premium valuation (P/E: 42.9x) Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.